Audit Evidence Quality and Assertion-Directed Procedures

CPA · cpa-auditing · BoardPrep lesson v1

Official examination scope

The PRC Board of Accountancy page and 2026 program identify current LECPA subjects; PRC Board Resolution No. 3 s. 2026 adopts Philippine auditing and assurance standards. This lesson teaches selected ISA 500 concepts. Consult current PRC and adopted standards; no frequency claim is made.

Learning objectives

- Distinguish evidence appropriateness (quality) from sufficiency (quantity).
- Select a procedure direction that tests the stated financial-statement assertion.
- Investigate contradictory evidence and document the resulting professional judgment.

1. Separate evidence quality and amount

Appropriateness concerns evidence quality, including relevance to the assertion and reliability of its source and form. Sufficiency concerns amount. More low-relevance or unreliable evidence may not resolve a gap. Evaluate both dimensions in relation to assessed risks and the conclusion.

2. Let the assertion determine direction

To test occurrence of recorded revenue, select entries from the accounting records and trace to shipping or customer-acceptance support. To test completeness of purchases, begin with a source population such as receiving reports and trace forward to the purchases journal and liabilities. Direction changes which omissions or unsupported records the procedure can detect.

3. Investigate contradictory evidence

An external confirmation may be persuasive, but a conflict with management's schedule requires investigation. Consider reliability, the reason for the difference, corroborating evidence, and whether risks or procedures should change. Document the conflict, work performed, and conclusion.

4. Keep skepticism and documentation active

Assess evidence in context. Inquiry alone may not support a conclusion when stronger corroboration is needed. Record procedures, sources, results, judgments, and how inconsistencies were resolved. The objective is sufficient appropriate evidence, not a predetermined document count.

Choose a completeness procedure

Question: Start with receiving reports issued before year-end and trace them into the purchases journal. Which assertion is targeted?
1. Receiving reports may include goods received but not recorded.
2. Tracing forward asks whether those source events entered the accounting records.
3. An omitted purchase or liability can therefore be identified.
Answer: The procedure primarily tests completeness of purchases and related liabilities.
Check: Starting with recorded purchases and tracing backward would more directly address occurrence.

Common misconceptions

- Appropriateness and sufficiency both mean the quantity of evidence.

- Tracing forward and vouching backward test the same direction and assertion.
- External evidence automatically resolves a conflict without assessing reliability.
- A contradiction can be ignored when one source agrees with management.

Practice patterns

- Classify an evidence-quality issue as appropriateness or sufficiency.
- Choose the assertion tested by the direction of tracing or vouching.
- Identify a sound response to evidence that conflicts with management.

Official scope references

Official scope: PRC Board of Accountancy — Current and Future LECPA TOS Resources — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-20%20Revised%20Annex%20A%20BOA.pdf
Official scope: PRC Board Program — May 2026 CPALE — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://prc.gov.ph/sites/default/files/Board%20Program%20May%202026%20CPALE_revised.pdf
Official scope: PRC Board Resolution No. 3 s. 2026 — Philippine Auditing Standards Adoption — Professional Regulation Commission; Professional Regulatory Board of Accountancy — https://www.prc.gov.ph/sites/default/files/2026-03%20published%20Adopting%20The%20Auditing%20And%20Assurance%20Standards%20Council%20Pronouncements.pdf

Instructional references

Instructional reference: ISA 500 — Audit Evidence — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/isa-500-audit-evidence
Instructional reference: ISA 315 Revised 2019 — Identifying and Assessing Risks of Material Misstatement — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/isa-315-revised-2019
Instructional reference: ISA 230 — Audit Documentation — International Auditing and Assurance Standards Board — https://www.iaasb.org/publications/isa-230-audit-documentation

BoardPrep lesson material is original instruction. It is not an official examination document.
No claim about question frequency or examination weighting is made.